

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$259.79 ▲ 1.36%	12M Price Target \$310.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.80T
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AMZN: Grinding to Highs on AI + Holiday Setup

WHAT HAPPENED

- AMZN tacked on another 1.4% to close at \$259.79 — that's a 5-day run of roughly +4.5% with zero news catalyst, which usually means institutions are quietly building positions ahead of Q3 earnings (late October) and the holiday season setup.
- Options flow is screaming bullish — a put/call ratio of 0.37 (traders are buying nearly 3 calls for every put) plus massive unusual call buying at \$255/\$257.5 strikes expiring this month. Someone's betting on a near-term pop.

WHY IT MATTERS

This quiet grind higher — with tech sector actually DOWN today while AMZN rips — tells me money is being selective, not just chasing beta. The market is positioning for a strong AWS print and a monster holiday quarter, especially since Prime Big Deal Days just wrapped. The CEO of Worldwide Stores selling 1,000 shares is nothing — that's a rounding error for Doug Herrington, likely a scheduled 10b5-1 sale, not a signal. Here's what matters: AMZN is at 70% of its 52-week range with options traders paying up for upside — that's a setup where either earnings deliver and we break out to new highs (\$287+), or we get a classic "sell the news" pullback to \$245. I'd lean toward the breakout given the AWS AI tailwind.

POLICY & POLITICAL WATCH

Two things on the policy radar: First, the FTC's antitrust case against Amazon is still grinding through courts — any settlement news or dismissal would be a major unlock, while a structural remedy (forcing them to split retail from AWS) is the nightmare scenario. Second, watch tariff policy — the administration's ongoing China trade posture directly hits Amazon's third-party sellers (roughly 60% of units sold), and any escalation squeezes marketplace volumes while any de-escalation is pure upside. Also quietly bullish: federal AI infrastructure spending continues to favor hyperscalers like AWS, which is winning government cloud contracts (JWCC, intelligence community deals) at a steady clip.

IS IT EXPENSIVE?

At \$2.8T market cap and ~38x forward earnings, you're paying about \$38 for every \$1 of next year's profit — that's a premium to the S&P (~22x) but actually reasonable for Amazon given AWS is growing ~19% and retail margins are finally expanding. On EV/EBITDA you're at ~17.5x, which is cheaper than it's been in years relative to its own history. The stock isn't a bargain, but it's not stretched either — it's priced like a quality compounder, which is what it is.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-10-07 19:11 UTC

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Key Data

Price (USD)	\$259.79
12M Price Target	\$310.00
Upside / (Downside)	+19.3%
Market Cap	\$2.80T
FY2026E Revenue	\$745M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$265.00	\$245.00
6 Months	\$310.00	\$285.00	\$235.00
1 Year	\$340.00	\$310.00	\$225.00
2 Years	\$400.00	\$350.00	\$230.00
5 Years	\$550.00	\$450.00	\$260.00
10 Years	\$900.00	\$650.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.4% today) is catching a defensive bid — likely rate-cut sensitivity and election-year positioning. Utilities continue to benefit from the AI power-demand narrative (+4.6% over 5 days).

COOLING OFF: Tech (-0.35%) and Consumer Discretionary (-0.20%) are both red today despite AMZN being up — this is actually telling. It means AMZN is being treated as a stock-specific story, not a sector trade.

ROTATION WATCH: Money is quietly rotating from pure-play semis into "AI beneficiaries with real cash flow" — hyperscalers like AMZN, MSFT, GOOGL. That's a durable trend because these companies monetize AI through existing cloud contracts, not speculation.

RELATED PLAY: If AMZN runs on AWS strength, the data center infrastructure names benefit too — think VRT (Vertiv) for cooling/power equipment, or data center REITs like DLR and EQIX.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure growth remains the gold standard for cloud; sets the bar AWS has to clear.
- GOOGL (Alphabet): Google Cloud finally profitable and AI narrative (Gemini) regaining respect.

AMZN CONTEXT: AMZN is holding its own with the mega-cap cloud peers but lagging slightly on YTD — which is actually bullish, it means there's catch-up room if AWS surprises. The stock trading at 70% of 52-week range while peers are near highs tells me the setup is favorable, not stretched.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Not pounding the table, but this is a core holding with multiple catalysts stacking into Q4 and genuinely improving fundamentals.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that an FTC headline doesn't ruin your year.

ENTRY POINTS: I'd add on pullbacks to \$248-253 (the pre-rally base). Chasing above \$265 right before earnings is where you get hurt.

TIME HORIZON: 12-24 months — the catalyst is AWS AI monetization showing up in reported numbers over the next 2-3 quarters, plus any FTC resolution.

WHEN TO BAIL: AWS growth below 15% two quarters in a row, OR a court-ordered structural remedy from the FTC case, OR Andy Jassy departing unexpectedly.

HEDGING: If you're nervous into earnings, buy a put a few dollars below current price as insurance — costs maybe 2-3% of position value and caps your downside if things go sideways. Or pair it with a short in a struggling retailer to isolate the AWS bet.